Department Store Apparel Buyers: Relationships Among Environmental Characteristics, Environmental Uncertainty, Boundary Spanning Activities, Managerial Discretion and Power

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Abstract

The purpose of the study was to explore the relationships among environmental characteristics, uncertainty, boundary spanning activities, managerial discretion, and power of the department store apparel buyer who assumes combination or independent buyer responsibilities. Almubarek's Model of Organizational Boundary Spanning and Duncan's (1972) Model of Environmental Uncertainty were used as conceptual frameworks. A questionnaire was mailed to buyers who purchased merchandise in the moderate-to-better sportswear areas in the top 10 department store groups in the United States.

The results generated support for the nature of relationships found among the variables in Almubarek's Model: a complex, dynamic environment leads to environmental uncertainty and perceptions of uncertainty trigger the use of boundary spanning activities which enhances the power of the buyer. In addition, the placement of apparel retailers within Duncan's (1972) Model should be revised to reflect a highly uncertain environment.

Lazorchak, S. A., & O'Neal, G. S. (2001). Department store apparel buyers: Relationships among environmental characteristics, environmental uncertainty, boundary spanning activities, managerial discretion and power. *Clothing and Textiles Research Journal, 19*(1), 11-21. *Key Words:* retail buyers, environmental uncertainty, boundary spanning.

The apparel retail industry is undergoing a revolution (Moin, 1999a) due to uncertainty and change emanating out of environmental sectors (Gellers, 1999). Sectors impacting the industry include human resources, technology, economic, governmental, socio-cultural, raw materials and international (Daft, 1992). Changes underway within the sectors include increasing consolidation among stores; growth of private label brands at the expense of national brands; competition from online selling; Internet siphoning of retail sales; shifts in consumer spending patterns from apparel to entertainment, investment and housing; embracing of the casual lifestyle and the consumer's disinterest in fashion (Gellers, 1999). As a result, the apparel retail environment is more complex, uncertain and dynamic than in the past. Although all retailers are operating in an uncertain environment, department stores have been most strongly affected and are losing their share of the apparel market. "Since 1991, apparel has lost three percentage points of market share in department stores, representing about $8.5 billion in lost sales for 1996....Apparel's chunk of department store's sales stood at nearly 20 percent in 1987, peaked in 1990 at close to 21 percent, and has been on a steady downtrend since 1991." In 1996, it fell to 17 percent (Seckler, 1997, p. 22).

Some industry consultants and vendor partners blame the managements of department stores for current problems (Levy, 1991). Other experts (Moin, 1992; Zinn, Power, Siler, DeGeorge, & Zellner, 1990), however, believe that department stores have been at the mercy of certain environmental influences out of their control. For example, economists say billions of dollars have been eliminated from the middle market—the department store's target market. In addition, environmental uncertainty and an increase in the number of environmental sectors impacting department stores have changed the manner in which buyers interact with upper management. This increasing environmental complexity and uncertainty suggests the possibility of a change in manage-

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rial strategies as well as in the amount or type of power commanded by the buyer.

To cope with environmental uncertainty, the buyer initiated boundary spanning activities (i.e., activities which link the organization with other organizations relevant to goal attainment) (Leifer, 1975). Boundary spanners engage in activities of three types: face, process and relation. Face activities include those that represent and protect the organization. For example, a face activity includes a buyer's acting as a representative of the department store in the apparel market. The buyer becomes "the face" of the organization to facilitate transactions. Process activities include those that scan and monitor the environment. For example, a buyer can scan the environment to identify influences that affect fashion trends and then monitor changes in direction and intensity of those influences. Relation activities include those that transact, link and coordinate with the environment, such as buyer and vendor negotiations (Almubarek, 1982; Miles, 1980). These activities enable buyers to gather information about environmental contingencies to make decisions regarding environmental conditions (Leifer & Delbecq, 1978).

Historically, the power amassed by the buyer was a result of the "buyer's monopoly of....knowledge and information over the merchandise....for which he buys" (Dickinson, 1967, p. 8). Therefore, upper management usually deferred to the knowledge of the buyer (Dickinson, 1967). As a result, buyers assumed great authority in the area of merchandise selection (Dickinson, 1967). However, with the advent of sophisticated information systems, the buyer no longer has a monopoly of information. Upper level executives can now access the information that once was the domain of the buyer.

Purposes of the Study

One purpose of this study was to describe the department stores' environmental characteristics, (i.e., complexity and dynamism), level of environmental uncertainty, use of boundary spanning activities (i.e., face, process and relation), use of managerial discretion, (i.e., inclination to use boundary spanning activities) and power perceived by independent and combination department store apparel buyers. Independent buyers work independently regarding the selection, buying and presentation of merchandise. Combination buyers work independently for some merchandise purchases but with corporate buyers for others. This study also sought to describe the relationships among these variables and to identify variables that predict buyer power.

Current State of Department Stores

It has been suggested that customers are dissatisfied with department stores because of poor customer service, stockouts, poor fit and style offerings and merchandise adjacencies that do not conserve shopping effort and time ("Department stores," 1995). Nestled between the specialty retailers who offer coordinated assortments, good service in an exciting atmosphere, and the off-price retailers who offer brand name merchandise at lower prices, department stores are trying to justify their existence with an emphasis on fashion leadership and a broadened definition of customer service (Standard and Poor's Industry Survey, 1992).

Vendors have complained that buyer requests for excessive charge backs and markdown allowances result in strained working relationships. Although globalization necessitates team-oriented approaches to business partnerships, the relation between buyers and vendors remains strained as arguments ensue about how much money one owes the other. These vendor-buyer arguments, along with the use of a vendor matrix, are thought to weaken the buyer's focus on the selection of apparel offerings and strategy development to build in-store excitement (Moin & D'Innocenzio, 1998; "Stepping out," 1998). A matrix is a list of vendors, selected and approved by corporate executives, from which buyers are to purchase merchandise. Some experts believe the use of a matrix stifles buyer creativity, risk-taking and autonomy while encouraging merchandise sameness by limiting the number of vendors who transact business with the store (Moin, 1999b; "Panel: Retailers need," 1998).

One leading designer believes department stores struggle because their managements have lost sight of the passion that drives the industry—the "pure joy of acquiring something that makes you feel better about yourself..." (Socha, 1999, p. 6). A recent study (Socha, 1999) supports that viewpoint: the format is developed according to operational considerations as opposed to the emotional components involved in the purchase process. Buyers typically try to evoke consumer emotions to stimulate sales by searching for innovative designs, but this strategy is made difficult when protecting profits is key. The large volume vendors that dominate the matrix offer the markdown monies desired by buyers; small volume vendors cannot. Therefore, sameness of merchandise offerings prevail. Unfortunately, buyers have become accountants, not merchants who assist consumers in feeling good about their appearance (Moin & D'Innocenzio, 1998).

However, there is hope for the future of the department store. One new turnaround strategy, called co-branding, is a private label partnership between a vendor and a store. The initial venture between Tahari and Bloomingdales elevated private label to a collection designed by Tahari for the Bloomingdale's customer, giving the retailer exclusivity, higher margins and a collection designed to meet the needs of the targeted consumer. Because key players from both the store and vendor partner to develop the line, markdown money request from buyers is eliminated, as the store has as much input in the product development process as the vendor. This strategy can develop into a meaningful partnership (Edelson, 1999).

Another strategy, initiated by Federated Stores, has executives from various functional areas joining together to lead the charge to rethink the department store of the future by studying the current format and submitting recommendations that will reposition the department store to be a major player in the future. Topics under review include reevaluating store organization and merchandise adjacencies, enhancing store environment, refocusing selling objectives and incorporating music and food into the department store shopping experience (Edelson, 1998). A third turnaround strategy, mass customization, is a program whereby consumers select apparel styles, fabrics and silhouettes to be custom designed; it will become widespread in the future (Silverman, 1998). Finally, one approach to meeting the needs of the consumer is being challenged. Some experts caution that many consumers do not know what they want

ENVIRONMENTAL CHANGE	Simple	Complex
	Simple + Stable = Low Uncertainty	Complex + Unstable = Low-Moderate Uncertainty
Static	1. Small number of external elements, and elements are similar. 2. Elements remain the same or change slowly. Examples: Soft drink bottlers Beer distributors Container manufacturers Food processors	1. Large number of external elements, and elements are dissimilar. 2. Elements remain the same or change slowly. Examples: Universities Appliance manufacturers Chemical companies Insurance companies
	Simple + Unstable = Moderate-High Uncertainty	Complex + Unstable = High Uncertainty
Dynamic	1. Small number of external elements, and elements are similar. 2. Elements change frequently and unpredictably. Examples: Personal computers Apparel retailers Music industry Toy manufacturers	1. Large number of external elements, and elements are dissimilar. 2. Elements change frequently and unpredictably. Examples: Electronic firms Aerospace firms Telecommunications firms Airlines

ENVIRONMENTAL COMPLEXITY

Figure 1. Framework for Assessing Environmental Uncertainty
Note: Daft (1992). Reprinted with permission.

and rely upon the store and vendor to create fashion excitement. If this assertion is accurate, buyers and vendors will be required to be more team oriented to provide fashion leadership (Socha, 1999).

According to Thompson (1967), engaging in boundary spanning activities enables the buyer to exert power within and outside of the organization; engaging in these activities suggests a high degree of managerial discretion, (i.e., buyer's inclination to use boundary spanning activities). As one who once gathered, analyzed and disseminated information, the buyer gained influence in regard to organizational decisions (Thompson, 1967; Tushman, 1977). However, with the upheaval in the department store format, the extent of buyers' power, use of boundary spanning activities and managerial discretion is not now known. With the advent of information systems, co-branding and the use of various team approaches to managerial decision-making, the buyer no longer has a monopoly on information. In addition, the required purchase of private label goods, the adherence to a vendor matrix and partnerships with vendors all serve to reduce the power historically wielded by the buyer (Edelson, 1999; Moin & D'Innocenzio, 1998). The current challenges facing apparel retailers and the untested nature of the turnaround strategies add to the complexity and uncertainty of the apparel retail environment and may change the nature of boundary spanning activities buyers employ as well as the power they possess in executing their duties.

Conceptual Framework

Two models were used as conceptual frameworks for the study: Duncan's Model of Environmental Uncertainty (1972) (see Figure 1) and Almubarek's Model of Organizational Boundary Spanning (1982). Duncan (1972) identified two dimensions of the environment: the simple-complex dimension and the static-dynamic dimension. This author then predicted the kinds of environments in which different levels of uncertainty were projected to exist. Duncan found that individuals in organizations located in simple-static environments experience the least amount of uncertainty whereas individuals in organizations located in complex-dynamic environments experience the greatest amount of uncertainty. Through observation, Daft (1992) placed apparel retailers[1] in Duncan's third quadrant: the simple-dynamic environment (see Figure 1). A reevaluation of this assumption is appropriate in view of the documented changes within the department store environment.

Almubarek's Model of Organizational Boundary Spanning (1982) consists of four premises: (1) organizations

[1]Daft actually used the term *fashion clothing*. It is clear, however, from his writings that he is referring to retail establishments that sell clothing. Therefore, for purposes of consistency, we have chosen to use the term *apparel retailers*.

attempt to protect themselves from environmental uncertainties, (2) boundary spanning activities are responses to perceptions of threats or opportunities in the environment, (3) boundary spanners are responsible for reacting to environmental uncertainties, and (4) boundary spanners who cope successfully with uncertainties gain power within the organization. Department store apparel buyers are considered boundary spanners and use boundary spanning activities in the performance of their job. Because buyers operate in uncertain environments, an assessment of their perceived power is appropriate. Both models have been used in researching industrial buyers and environments (Almubarek, 1982; Duncan, 1972). Department store buyers of moderate-to-better misses sportswear apparel were targeted for study because they control merchandise that greatly contributes to department stores' sales and profitability (Pogoda, 1996).

Method

Sampling and Data Collection

The population consisted of department store apparel buyers of moderate-to-better misses sportswear (both coordinates and separates) from the top ten performing department store groups published in *Stores* magazine (Schultz, 1993). Three hundred and twelve buyers listed in *Sheldon's Directory* (1993) were contacted for inclusion in the study. Sixty-six questionnaires were returned; 58 were usable resulting in a response rate of 19 percent.[2]

The majority of respondents were women (91%, n = 53), a female to male ratio of nearly 11:1. The majority of buyers (n = 31, 53%) were from 35 to 55 years old. No buyer had been employed in his or her present position more than 15 years, with only 20% having been employed in department store retailing for more than 21 years. All reported at least six years of employment in department store retailing. The majority of buyers (n = 42, 72%) assumed combination buying responsibilities, with 28 percent (n = 16) identifying themselves as independent buyers.

Data were collected using a self-administered questionnaire. To maximize participation, a five-stage process was followed (Dillman, 1978): (a) a pre-questionnaire postcard was mailed one week prior to the initial mailing, (b) a questionnaire packet was sent, (c) a postcard was sent one week after the questionnaire packet as a reminder or as a thank you for participating, (d) a reminder letter and questionnaire packet was sent three weeks after the first questionnaire mailing, and (e) a final reminder letter and questionnaire were sent five weeks after the initial mailing. Additionally, two incentives were employed to encourage further participation. One envelope of instant cappuccino mix was included in the initial questionnaire packet; additionally, buyers who returned completed questionnaires were eligible for a $500 drawing.

Instrumentation and Data Analysis

The questionnaire included five instruments. The Duncan (1972) Environmental Characteristics Scale measured perceptions about the environment's complexity and dynamism. The Duncan (1972) Perceived Environmental Uncertainty Scale measured perceived level of uncertainty by apparel buyers. Both scales were modified by Almubarek (1982). Montanari's (1979) Managerial Discretion Scale, modified by Almubarek (1982) was used to measure the buyer's inclination to use boundary spanning activities to cope with environmental uncertainty and Montanari's Power Scale measured perception of buyer power. The authors factor analyzed the power scale identifying two subdimensions: organizational power and merchandise power. Jemison's (1978) Boundary Spanning instrument measured activities of apparel buyers.

Duncan's Environmental Characteristics Measure (1972) was designed to measure respondents' perceptions of complexity and dynamism in the external organizational environment. Environmental characteristics consist of two levels: complexity (the degree to which factors in the [department's store's] environment are few or many in number and are similar or dissimilar to one another) (Duncan, 1972), and dynamism or "the degree to which the factors of the [department store's]...environment remain basically the same over time or are in a continual process of change" (Duncan, 1972, p. 316). To operationalize complexity (i.e., environmental factors are few or many and similar or dissimilar), the respondents were given a list of ten external environmental factors and were instructed to check those of chief importance in their decision making situations. To calculate a score on the simple-complex dimension, the number of factors (F) identified by the respondent was multiplied by the square of the number of components $(C)^2$. Environmental dynamism (i.e., environmental stability or change) was measured using a five-point Likert-type instrument consisting of two items. The internal reliability coefficients of the complexity instrument have been reported as .84 and .83 (Almubarek, 1982). Researchers have measured and supported the construct validity of these two measures in prior investigations (Almubarek, 1982; Cox, 1977; Duncan, 1972).

The Duncan Perceived Uncertainty Scale (1972) consists of three levels: (1) "lack of information regarding the environmental factors associated with a given decision situation, (2) not knowing the outcome of a specific decision in terms of how much the organization would lose if the decision were incorrect, and (3) inability to assign probabilities with any degree of confidence with regard to how environmental factors are going to affect the success or failure of the [department store] in performing its function" (Duncan, 1972, p. 318). The instrument measures perceptions of a lack of information and knowledge about the environment. Inability to assign probabilities, the third dimension, consists of three items, as revised by Almubarek (1982). The three dimensions were summed and averaged to produce a total uncertainty score. Cox (1977) reported reliability co-

[2]This rate can be compared to other published studies which utilize retail buyers as respondents (Shim & Kotsiopulos, 1991, 16.2%; Sternquist, Tolbert & Davis, 1989, 15.4%). Small sample size is a problem faced by researchers conducting studies using national samples of retail buyers (Hathcote, 1989; Shim & Kotsiopulos, 1991).

efficients of .70, .76 and .78 respectively and a total uncertainty coefficient of .85.

Montanari's (1979) Managerial Discretion Measure, modified by Almubarek (1982) for use by purchasing agents, was used to measure the buyer's inclination to use boundary spanning activities to cope with environmental conditions. Buyer discretion was measured by a seven-point Likert-type scale consisting of three items which were summed and averaged for scoring purposes. Almubarek (1982) reported the internal reliability coefficient for the scale as .82.

Montanari's Perceived Power Scale measured the buyer's "expressed likelihood that one or more of his or her recommendations will be accepted by his or her colleagues" (Almubarek, 1982, p. 9). The measure, as revised by Almubarek (1982) to fit a population of purchasing agents, consists of seven items. In previous research, the items were summed, then averaged to determine a score. The internal reliability coefficient was .88 (Almubarek, 1982). Our factor analysis of the scales (see Table 1) resulted in two dimensions of perceived power: merchandise power and organizational power. These two factors explained 43% of the variance with three items loading on each factor. Subsequent intercorrelation and multiple regression analyses used the merchandise power and organizational power variables.

Table 1. Factor Loadings of Items Included in Power Measure

Items	Factor 1 Merchandise Power	Factor 2 Organizational Power
Likelihood That...		
recommendations regarding the search for new merchandise would be accepted by colleagues	**.84**	.10
suggestions for buyer behavior would be accepted by colleagues	**.78**	.17
receive support for relation with other companies	**.71**	.17
recommendations insuring the constant flow of new merchandise would be accepted by colleagues	**.62**	.39
positive information presented about the organization would be accepted by colleagues	.08	**.88**
information warding off environmental noise (e.g. false rumors regarding mergers) would be accepted by colleagues	.12	**.82**
information examining the political situations would be accepted by colleagues	.22	**.59**
Eigenvalues	3.01	1.24
% of total variance explained by each factor	43.1%	17.8%

Jemison's (1978) Boundary Spanning Scale measured face, process and relation activities. These activities link agents in the organization with others in the environment and are related to the goal attainment of the organization (Leifer, 1975).

Because the larger department store will be the prototype of the future ("Industry says," 1990), it seemed prudent to study buyers associated with them. In using a sample of department store buyers, the researcher minimized the effect of industry differences in responses to environmental variables and types of boundary spanning activity. The instrument consisted of twenty-five items. The items were summed and averaged to determine boundary spanning scores. Almubarek (1982) reported the internal reliability coefficient for the scale as .89.

In total, the questionnaire package consisted of scales to measure characteristics of the environment (dynamism and complexity), environmental uncertainty, managerial discretion, boundary spanning activities and a question determining the nature of the buying responsibilities (independent or combination) and selected demographic questions. A significance level of .10 was used as recommended for studies of an exploratory nature (Gall, Borg & Gall, 1996) to reveal preliminary relationships that may warrant further investigation. Descriptive statistics, Pearson product moment correlations, factor analysis and multiple regression were the statistical methods used to satisfy the purposes.

Results and Discussion

Combination and Independent Buyers: T-test Results. The raw scores and the results of t-tests performed on all study variables (i.e., complexity, dynamism, uncertainty, boundary spanning, managerial discretion and power) and buyer types (i.e., independent and combination) are reported to determine significant differences between buyer types and among variables.

Analysis of Duncan's environmental characteristics (i.e., complexity and dynamism) measure revealed mean scores for combination buyers as 113 and 131[3] for independent buyers. The midpoint of possible scores was 63.5; therefore, both independent and combination buyers reported the environment as very complex. This finding suggests that unlike Daft's (1992) assumption that apparel retailers should be classified as operating in a simple environment (see Figure 1), the buyers reported the environment as complex. A simple environment consists of a small number of similar, external elements. Thus, it is suggested that these businesses could be placed in the complex quadrant of Daft's model in congruence with the substantial evidence that the external environmental sectors impacting today's department store format are increasing in number and are becoming more dissimilar ("Industry says," 1990; Jacobs, 1991; Morgenson, 1993; Rogers, 1991; Zinn et al., 1990).

[3]Results of *T*-tests revealed no significant differences between buyer types among all variables.

Both buyer types perceived the environment to be dynamic. Possible scores on the dynamism measure ranged from two (never) to 10 (always). The mean score for combination buyers was 8.46 whereas independent buyers' mean score was 8.29. Because all respondents' scores were above six, the midpoint, the perception of the environment was interpreted as dynamic. This finding supports the observation of Daft (1992) who placed apparel retailers within the dynamic end of the measure. A dynamic environment is one in which the elements change frequently and unpredictably (see Figure 1).

Both the independent and combination buyers perceived the environment to be highly uncertain. Possible scores on the uncertainty measure ranged from three to 15. The median of possible scores (nine) was considered the break between high and low uncertainty. Combination buyers' mean score was 7 whereas independent buyers' mean score was 6.99. Both scores fell below the midpoint of the scoring range. Because lower scores indicate greater uncertainty, both combination and independent buyers perceived the department store environment as uncertain.

Buyers reported perceiving the environment to be complex, dynamic and uncertain. The high levels of environmental complexity and dynamism place the department store environment in Duncan's fourth quadrant: a highly uncertain environment. This finding disputes Daft's (1992) suggestion that apparel retailers should reside in quadrant three: a moderate-to-highly uncertain environment (see Figure 1). Respondents reinforced this finding by describing the department store's environment as highly uncertain.

Results of the analysis of the boundary spanning measure revealed similarities between buyer types. Possible scores on the boundary spanning measure ranged from three (never) to 15 (always). Combination buyers reported a mean of 8.21 whereas independent buyers reported a mean of 8.44. Combination and independent buyers perceived themselves to be occasional users of boundary spanning activities. These findings supported results by researchers (Leifer, 1975; Leifer & Delbecq, 1978; Thompson, 1962) who identified buyers as boundary spanners and users of boundary spanning activities. However, it is surprising to find that buyers did not perceive themselves to be more frequent users of boundary spanning activities.

Buyers reported being highly inclined (e.g., possessed managerial discretion) to use boundary spanning activities to cope with environmental uncertainty. This finding was also true of industrial buyers (Aldrich & Herker, 1977; Almubarek, 1982; Leifer & Delbecq, 1978). Possible scores on the perceived discretion measure ranged from one (strongly disagree) to seven (strongly agree). Combination buyers reported a mean score of 5.66 whereas independent buyers reported a mean score of 5.77.

Both buyer types perceived themselves to possess power (i.e., likely that one or more of their recommendations would be accepted by colleagues). This finding supported the position of Thompson (1962) who stated that boundary spanner power was present in a diverse and unstable environment. Possible scores on the power measure ranged between one (absolutely not) and five (definitely). Combination buyers reported a mean score of 3.56 whereas independent buyers reported a mean score of 3.72.

Scrutiny of the power measure suggested that power may not be a unidimensional construct; therefore, the measure was factor analyzed. Principal component factor analysis with varimax rotation was performed on the seven Likert-type items. Two factors with eigenvalues greater than 1.0 emerged, explaining 60.9% of the total variance. Examination of the items with factor loadings greater than .40 on the two factors indicated that the content of the items for factor one pertained to merchandise power. Merchandise power refers to buyer influence that surrounds decisions impacting merchandise. The responses to these four questions were summed and averaged to develop a merchandise power measure. The items with factor loadings greater than .40 on factor two pertained to organizational power. Organizational power refers to buyer influence that surrounds decisions impacting broader organizational issues, beyond merchandise decisions. The responses to these three questions were summed and averaged to develop an organizational power measure (see Table 1). Perceived power subscales—organizational and merchandise power—were used in assessing correlations among the variables.

Combination Buyers: Intercorrelation Results. Pearson product-moment correlations were performed to determine relationships among the responses of combination buyers. Moderate relationships were noted between complexity and boundary spanning ($r = .34$, $p = .03$) and buyer discretion and organizational power ($r = .33$, $p = .04$) (see Table 2). When combination buyers perceived the environment as complex, they used more boundary spanning activities. This finding concurred with the literature (Almubarek, 1982; Cox, 1977; Cox, Hitt & Stanton, 1978; Leifer & Delbecq, 1978; Thompson, 1962, 1967). As combination buyers identified themselves as inclined to use boundary spanning activities, they perceived an increase in their organizational power. This finding might be explained by the combination buyer's close association with corporate executives in the performance of their duties. These buyers are closer to the strategic decision-making process due to their interactions with those who are involved in developing corporate directives.

Boundary spanning activities and merchandise power were strongly correlated ($r = .56$, $p = .01$). As combination buyers indicated high usage of boundary spanning activities, they perceived themselves to possess more power over merchandise decisions. The gathering of information gave these buyers the perception of power over merchandise decisions.

A modest, significant relationship was found between boundary spanning and buyer discretion ($r = -.28$, $p = .09$). The less inclined a buyer is to use boundary spanning activities (i.e., managerial discretion), the more activities they actually used. This finding seemed at first to be at odds with the literature, however, it can be explained within the context of the role of the combination buyer. Combination buyers, by definition, assume dual buying responsibilities. Sometimes they work independently when selecting, buying and presenting merchandise for resale to customers. At other times, they work in conjunction with corporate buyers to develop private label merchandise and negotiate reduced prices for branded merchandise to be offered for sale to the entire corporation. Therefore, it is very likely that the ebb and flow of boundary spanning inclination and usage parallels the independent and team approach of the combination

Table 2. Intercorrelations Among Variables for Independent and Combination Buyers

Variable	Dynamism	Uncertainty	BSA+	Buyer Discretion	Power Merchandise	Power Organization
Complex	**.19** -.12	**.10** -.07	**.34**** .01	**-.08** .10	**.21** .63***	**.25** -.38
Dynamism		**-.43***** -.12	**.26** .46*	**.17** .53**	**.14** .18	**.10** -.27
Uncertainty			**-.33*** -.37	**-.13** -.16	**-.48***** -.13	**-.27** .32
Boundary Spanning Activity				**-.28*** .58**	**.56***** .45*	**.23** -.17
Buyer Discretion					**.17** .67***	**.33**** .05

*$p \leq .10$, **$p \leq .05$, ***$p \leq .01$.
Bolded Type = Combination Buyers
BSA + = Boundary Spanning Activities

buyer in the performance of his or her duties. At various times, the buyer may be less and then more inclined to use boundary spanning activities due to the nature of his or her assignment in the team process. For example, during negotiations, buyers may need to use more boundary spanning activities to accomplish their goal of receiving the lowest wholesale price, most economical delivery method and appropriate seasonal and promotional discounts.

Finally, negative moderate relationships were found between dynamism and uncertainty ($r = -.43$, $p = .01$), perceived uncertainty and boundary spanning activity ($r = -.33$, $p = .07$), and perceived uncertainty and merchandise power ($r = -.48$, $p = .01$). The more dynamic the environment, the more combination buyers perceived the environment to be uncertain; the use of boundary spanning activities enables buyers to deal with this environment. Combination buyers gain merchandise power as they gather information to deal with environmental uncertainty. This finding suggests that combination buyers were entrusted with merchandise decisions in an uncertain environment.

Independent Buyers: Intercorrelation Results. Pearson product-moment correlations were performed to determine the relationships among the responses of independent buyers. Substantial relationships were identified between dynamism and buyer discretion ($r = .53$, $p = .03$), boundary spanning and buyer discretion ($r = .58$, $p = .02$), complexity and merchandise power ($r = .63$, $p = .01$) and buyer discretion and merchandise power ($r = .67$, $p = .01$) (see Table 2). Independent buyers were inclined to use boundary spanning activities to cope with a dynamic environment. This finding concurs with industrial literature (Almubarek, 1982; Cox, 1977; Leifer & Delbecq, 1978). Furthermore, when buyers felt inclined to use boundary spanning activities, (i.e., possessed managerial discretion), they increased their use of those activities. As the environment becomes more complex, independent buyers perceive themselves to possess power over merchandise decisions; navigating successfully multiple, diverse sectors increases merchandise power. Finally, when independent buyers perceived themselves as inclined to use boundary spanning activities to cope with environmental uncertainty, their perception of power over merchandise decisions increased.

Moderate relationships were found between dynamism and boundary spanning activities ($r = .46$, $p = .09$) and boundary spanning activities and merchandise power ($r = .45$, $p = .09$). Buyers increased their use of boundary spanning activities in a dynamic environment. This finding concurs with industrial literature (Almubarek, 1982; Cox, 1977; Cox et al., 1978; Leifer & Huber, 1977; Thompson, 1962, 1967). When independent buyers perceived a high level of boundary spanning usage, they perceived themselves to have power over merchandise decisions.

The relationships found among the variables tested in the department store environment using combination and independent buyers were similar to those found in the manufacturing/industrial environment. In other words, Almubarek's Model of Organizational Uncertainty (1982) was supported in the department store environment: environmental complexity and dynamism lead to perceived environmental uncertainty, uncertainty triggers the use of boundary spanning activities to cope with environmental uncertainty, and the use of boundary spanning activities enhances the power of the buyer (Duncan, 1972; Miles, 1980; Thompson, 1967).

Combination and Independent Buyers: Areas of Significant Commonality Among Variables. For both independent and combination buyers, two pairs of variables revealed significant results: between buyer discretion and boundary spanning activities and between boundary spanning activities and merchandise power (see Table 2). When combination buyers were less inclined to use boundary spanning activities, they increased their usage of those activities ($r =$

-.28, $p = .09$). This result was explained previously within the context of the role of the combination buyer. However, independent buyers who were inclined to use boundary spanning activities increased their use of such activities ($r = .58$, $p = .02$). This finding is logical given that independent buyers work independently and must follow through in all boundary spanning activities. There is no delegating of activities as is possible with combination buyers.

Secondly, relationships were found between buyer types on boundary spanning activities and merchandise power (Combination: $r = .56$; $p = .01$; independent: $r = .45$, $p = .09$). When both buyer types used boundary spanning activities, they perceived themselves to possess power over merchandise decisions.

Combination and Independent Buyers: Intercorrelations Among Variables and Type *of Boundary Spanning Activity: Face, Process, Relation.* Results of the comparisons of combination and independent buyers perceptions of environmental characteristics, (i.e., complexity and dynamism), environmental uncertainty, managerial discretion (i.e., inclination to use boundary spanning activities), organizational and merchandise power and *types* of boundary spanning activities are presented in Table 3.

Boundary spanning includes activities of three types: face, process and relation. Face activities represent and protect the organization, process activities scan and monitor the environment, whereas relation activities transact, link and coordinate with the environment (Almubarek, 1982; Miles, 1980).

Both combination and independent buyers used face and relation activities when they perceived merchandise power. Combination buyers reported a moderate relationship between face ($r = .41$, $p = .01$) and relation ($r = .31$, $p = .05$) boundary spanning activities and complexity. In a complex environment, combination buyers made more frequent use of face and relation activities than did independent buyers. Independent buyers indicated no significant association between type of activities and complexity. This finding suggests that combination buyers associated representing, transacting, linking and coordinating activities with a complex environment to a greater extent than independent buyers. This result is surprising, as it would seem that independent buyers would use more process activities to monitor complex environments to a greater extent than combination buyers, that is, independent buyers have less opportunity to delegate boundary spanning activities to others.

In a dynamic environment, combination buyers reported more frequent use of process activities ($r = .29$, $p = .07$) whereas independent buyers reported more frequent use of relation type activities ($r = .64$, $p = .01$). This finding suggests that combination buyers associate information processing activities with a dynamic environment and independent buyers associated transacting, linking and coordinating activities with a dynamic environment. Independent buyers could rely on their established relationships to help make sense of a changing environment; they might increase interaction with their vendor representative in the apparel market or initiate contact with resident buyers to gain the information to facilitate decision-making. Combination buyers may be less concerned with outside relationships because the team provides the interactions necessary to complete successfully the assigned projects, whereas independent buyers must focus on outside relationships to complete their duties.

Independent buyers reported more frequent use of process activities (i.e., monitoring and scanning) in an uncertain environment ($r = -.51$, $p = .06$) whereas combination buyers did not associate any one type of boundary spanning activity with uncertainty. This difference could be attributed to the differences in buyer orientation. Independent buyers must gather the information necessary to aid decision-making because they work alone; this task cannot be delegated to others. Combination buyers, conversely, can delegate information gathering activities to another team member, hence, reducing their own participation in process activities.

In examining the merchandise power variable by buyer type, combination buyers reported frequent use of all three types of boundary spanning activities (face: $r = .47$, $p = .01$; process: $r = .47$; $p = .01$; relation: $r = .43$, $p = 01$) whereas independent buyers reported frequent use of face ($r = .44$, $p = .09$) and relation activities ($r = .66$, $p = .01$). This finding suggests that independent buyers rely on their relationships more than information processing in merchandise decision-making. The reasons for this could again be attributed to

Table 3. Intercorrelations Among Variables and Type of Boundary Spanning Activities

Variable	Combination Buyers			Independent Buyers		
Type of BSA	Face	Process	Relation	Face	Process	Relation
Complex	.41***	–	.31**	–	–	–
Dynamism	–	.29*	–	–	–	.64***
Uncertainty	–	–	–	–	-.51*	–
Buyer Discretion	–	-.32**	–	–	.45*	.78***
Merch Power	.47***	.47***	.43***	.44*	–	.66***

***$p \leq .01$, **$p \leq .05$, *$p \leq .10$.

differences in buyer orientation. Because independent buyers work alone, they may reach out to market representatives to supplement their own information gathering activities. Conversely, combination buyers have team interaction built into their buyer role, hence reducing the need for primary reliance on external relationships.

Combination and Independent Buyers: Multiple Regression Results. The final analysis performed attempted to identify variables that could predict merchandise power of all buyers. Stepwise multiple regression analysis was used to analyze the relationships among variables. Complexity, dynamism, uncertainty, managerial discretion and boundary spanning activities represented the independent variables, with merchandise power representing the dependent variable. Table 4 reports the results of the analysis. Two variables emerged significant at alpha level $\leq .10$.

Perceived environmental uncertainty accounted for 27% of the proportion of variance in the dependent variable, merchandise power. Boundary spanning activities accounted for 15% of the variance. The predictor variables and their multiple regression correlation coefficients explained 42% of the proportion of variance in the dependent variables for combination buyers.

Next, a stepwise regression analysis was performed to identify variables that could predict independent buyers' merchandise power (see Table 4). All variables were entered in the regression equation. Two variables emerged significant at alpha $\leq .10$. Buyer discretion accounted for 36% of the proportion of variance in the dependent variable, merchandise power. Environmental complexity accounted for 34% of the proportion of variance. The predictor variables and their multiple regression coefficients explained 70% of the variance in merchandise power for independent buyers (dependent variable).

Environmental uncertainty and boundary spanning activities were the two best predictors of merchandise power for combination buyers. Therefore, the use of boundary spanning activities, in conjunction with an uncertain environment, predicted power over merchandise decisions. On the other hand, for independent buyers, the inclination to use boundary spanning activities, coupled with environmental complexity, predicted merchandise power. Both buyer types either extensively used boundary spanning activities or were highly inclined to use boundary spanning activities (i.e., possessed managerial discretion) to cope with environmental uncertainty. However, the general lack of information about the environment (i.e., perceived uncertainty), not the degree to which factors in the organizational environment are many and dissimilar to one another (complexity), predicted merchandise power for combination buyers.

Conclusions

Several conclusions can be drawn. First, results of this study support Almubarek's industrial model: a complex, dynamic environment leads to environmental uncertainty, perceptions of uncertainty trigger the use of boundary spanning activities which enhance the power of the buyer. Additionally, different variables predict perceptions of buyer's merchandise power possibly because of differences in types of responsibilities.

Combination and independent buyers indicated a preference for or reliance on certain type of boundary spanning activity in the performance of their duties. Furthermore, apparel buyers' power is restricted more to power over merchandise decisions rather than to power within the organization per se. Additionally, there is evidence to challenge Daft's (1992) observation that apparel retailers (which includes department stores) are located in the third quadrant (moderate-to-high uncertainty) of Duncan's Perceived Uncertainty Model. Results indicate support for categorizing them as existing in a highly uncertain environment, and therefore, placing them in the fourth quadrant of the model. However, caution must be used in interpretation, as department store buyers were the only buyers surveyed. Because combination buyers work both independently and with corporate buyers, the uncertainty could spur the group to work as a team, discussing divergent options and strategies, and hence adding to the perception of power over merchandise decisions. Furthermore, combination buyers may deal with higher levels of uncertainty, as some purchases target the

Table 4. Stepwise Regression of Merchandise Power on the Independent Variables

Combination Buyers					Independent Buyers				
Variable	sR^2	CuR^2	b	*p*	Variable	sR^2	CuR^2	b	*p*
Perceived Environmental Uncertainty	.27	.27	-.17	.01***	Buyer Discretion	.36	.36	.31	.04**
Boundary Spanning Activities	.15	.42	.47	.01***	Environmental Complexity	.34	.70	.006	.01***

Combination Buyers: $n = 30$
$^{***}p \leq .01$, $^{**}p \leq .05$.
sR^2 = Partial R^2
CuR^2 = Cumulative R^2
F for model = 10.01, *p* for model = .01

Independent Buyers: $n = 11$
$^{***}p \leq .01$, $^{**}p \leq .05$.
sR^2 = Partial R^2
CuR^2 = Cumulative R^2
F for model = 10.05, *p* for model = .01

entire department store corporation. The dollar value of corporate buys could add to the perceptions of uncertainty.

Independent buyers, conversely, work autonomously when making merchandise decisions. Complexity of the environment would be of concern, as the monitoring of diverse environmental sectors is not delegated to colleagues, as with combination buyers. It seems that monitoring and successfully navigating a complex environment would lead to power over merchandise decisions.

This study addresses the observation by Hrebiniak and Snow (1980): "Industry differences in response to environmental uncertainty have not been noted currently by researchers" (p. 750). This study did reveal the preliminary nature of the relationships among environmental characteristics, environmental uncertainty, managerial discretion, boundary spanning activities and merchandise power in a department store environment.

The small sample size along with the low response rate must be considered limitations of the study. The important role that buyers play in the success of their organizations behooves researchers to continue to study those who occupy these roles, regardless of these limitations, to better understand them and their organizations.

Future studies need to focus attention on environmental characteristics, environmental uncertainty, managerial discretion, boundary spanning activities and merchandise power in department store and other retail settings. Attention should be paid to types of boundary spanning activities: face, process, and relation. Due to the low response rate, definite prescriptions for buyer behavior cannot be made. However, with a larger sample of buyers, future study results may identify which type of boundary spanning activities would be most appropriate to use in varied situations to guide buyer behavior, strengthen performance and enhance the profitability of the store.

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